Dear Sirs,

Re: Warwick House, 8 Addison Crescent, London W14 8JP (Title No: BGL25559) (the "London Property") Charge in favour of Barclays Bank Pic (the "Bank") dated 2 February 2009 (the "London Charge")

Our client: Nicola Johnson (formerly Nicola Takieddine)

Commented [NS1]: Definitions: Add Paris property. Define "Loans"

1. We act for Nicola Johnson.

Commented [NS2]: All future references to NJ to be to "our client"

2. It is our contention for the reasons which appear below that the conduct of Barclays Bank plc (the "Bank" or "Barclays"), including the Bank's subsidiaries and senior officers, makes the Bank liable to our client for damages.

3. This liability is based upon the Bank's involvement in a conspiracy with Ziad Takieddine, our client's former husband, to injure our client using unlawful means. The Bank and its senior officers have committed several criminal offences, evidenced below, relating, *inter alia*, to money laundering, tax evasion and 'fraudulent self-insolvency'. These offences were committed in the knowledge that they would injure our client.

4. Barclays wished to benefit from Mr Takieddine's links with the Libyan regime of Colonel Gaddafi, regardless of the disreputable nature of those links, which included laundering illegal payments from the regime to Nicolas Sarkozy and supplying a convicted terrorist with equipment associated with the torture and murder of civilians.

5. In addition to becoming involved in terrorist financing and money laundering, the Bank assisted Mr Takieddine to defraud our client and the French tax authorities.

6. Much of the material on which we shall rely in support of our contention is contained within the Bank's credit report (the "**Credit Report**") dated 18 November 2008 in respect of the Loans made by the Bank to Mr Takieddine.

7. We shall also rely on documents from France. As well as being the victim of the conspiracy orchestrated by Ziad Takieddine and Barclays, our client is also a key witness and civil party to the French state's criminal prosecutions of Mr Takieddine and several French political figures.

8. Barclays is named in those proceedings, in the context of what the prosecutors have described as the "massive fraud" perpetrated by Mr Takieddine between 2007 and 2009. Barclay's role included providing what the Bank described as "equity release", enabling and assisting Mr Takieddine to transfer some £12,000,000 of the couple's matrimonial assets to remote offshore locations, beyond the reach of European justice.

Parties

Ziad Takieddine

9. Ziad Takieddine is a self-confessed money launderer, in addition to being notorious as a corrupt fraudster, forger and tax evader. Mr Takieddine has for more than a decade orchestrated a criminal campaign to defraud our client in the context of the couple's divorce, initiated by Mr Takieddine in September 2006.

10. Mr Takieddine currently faces trial in France for several serious criminal offences, including but not limited to multiple counts of corruption, money laundering, aggravated money laundering, fraud, concealment, tax evasion, laundering the proceeds of tax evasion, *organisation frauduleuse de l'insolvabilité* (fraudulent self-insolvency) and use of forgery.

11. Mr Takieddine has so far spent two spells in French prison, the first for '*abandon de famille*' (refusal to pay alimony, in defiance of court orders) and the second for breach of bail conditions.

12. The French tax authorities have filed a criminal complaint demanding €21,649,731 in respect of Mr Takieddine's tax evasion and have placed his assets in France under penal seizure.

13. Mr Takieddine is also the subject of a UK arrest warrant[1], not backed for bail, to face charges of perversion of the course of justice and conspiracy to pervert the course of justice. The UK offences relate to Mr Takieddine's creating and relying in the English courts on forged documents in his efforts to defraud our client.

14. Mr Takieddine is currently facing trial for corruption and money laundering in connection with political funding scandals, including the 'Karachi Affair' which involved the murder in 2002 of 11 French engineers, as well the illegal €50 million financing by Colonel Gaddafi of Nicolas Sarkozy's 2007 election campaign, in which Sarkozy and some of his former ministers have also been charged and face trial.

15. The Credit Report confirmed that Barclays was aware of Mr Takieddine's profile in the media, whereby press comment about him was uniformly unfavourable. Takieddine was known as an intermediary of dubious reputation and widely suspected of involvement in "retro-commissions", whereby he laundered corrupt payments to politicians.

16. Media outlets had publicised the couple's ongoing divorce from as early as February 2007, whereby it was reported that the divorce procedure could cost Mr Takieddine some 115 million euros. It was also reported that Mr Takieddine was attempting to secure (illegal) retro-commissions from Libya, that he was suspected of money laundering and that he was under investigation by the French tax authorities.

17. Barclays designated Mr Takieddine as a "Politically Exposed Person" and was therefore required to conduct enhanced due diligence in its dealings with him. In spite of Mr Takieddine's dubious reputation and the obvious risk of financial crime, the Bank agreed to assist Mr Takieddine to defraud our client.

18. Barclays wished to benefit from Mr Takieddine's influence in Libya. The Bank was seeking emergency capital of £6.5 billion at the time, in its efforts to avoid the UK government bailout. At the time of the Credit Report, Barclays was reported to have approached the Libyan Investment Authority with a view to securing a capital injection.

Amesys

19. When lending to Mr Takieddine, the Bank relied on the interest payments being met by Mr Takieddine's *"share of the annual payments outstanding for contracts for the supply of Intelligence equipment to the Libyan government"*. The Credit Report noted: *"His [Mr Takieddine's] current income is derived from a contract he negotiated - for the provision of electronic surveillance equipment for monitoring email and internet traffic - between the French and Libyan governments. This contract has EUR 5M left to pay over the next 2 years."*

20. Amesys (formerly named 'i2e' and later renamed 'Nexa Technologies') is the French private company that supplied the controversial surveillance technology, codenamed 'Eagle', to Abdullah Senussi, the head of Libyan intelligence. The equipment was used for the *"identification, surveillance and elimination of opponents"* of the Gaddafi regime. Since May 2017, Amesys has been placed under the status of "assisted witness" (témoin assisté) for complicity to acts of torture committed in Libya between 2007 and 2011.

21. The International Federation for Human Rights (FIDH), which filed the initial complaint against Amesys, stated in December 2017:

> *"Given the sinister reputation of Muammar Gaddafi and his security structures – regularly criticised by international human rights organisations – Amesys must have known that the Libyan regime would use the technology as a means of oppression. This is especially so when one considers that Amesys's interlocutor for signing the agreement was none other than Abdallah Senussi, the head of Libyan intelligence who had been convicted in 1989 by the Criminal Court (Cour d'assises) of Paris for acts of terrorism and who, at the time the complaint was lodged, was the subject of an International Criminal Court international arrest warrant for crimes against humanity …"*

22. Just as Amesys must have known that the Libyan regime would use the technology as a means of oppression, so Barclays must also have known.

23. Ziad Takieddine negotiated the Amesys transaction, for which he was paid several million euros in instalments. The payments were made to a secret bank account in Lebanon, not declared to the French tax authorities.

24. The French government has denied any involvement in the Amesys transaction. A spokesman for the French Ministry of Foreign and European Affairs stated that *"the Eagle software is [was] not subject to export customs control, and the state has [had] no visibility on its export; therefore we deny any involvement in surveillance operations carried out on the Libyan people."*

25. The Credit Report confirmed that Barclays was aware of the transaction and had reviewed the intelligence equipment contracts, which were the principal factor relied upon by the Bank in its assessment of Mr Takieddine's income and of its explanation as to how the interest repayments would be met.

26. It is also clear from the Credit Report that the Bank had reason to suspect that Mr Takieddine was engaged in tax evasion and the concealment of tax evasion:

> *"It is highly likely that this is a conservative estimate of the client's income position, as this only represents income from disclosed assets. It is probable the client has cash/investment assets further to the declared position, but he is reluctant to declare his full cash balances with 3rd parties at this stage in the relationship. His French residency, and associated tax regime, means he is cautious when discussing taxable income and assets."*

27. (It appears that) Barclays knowingly financed Mr Takieddine's 10% share of the contract to supply equipment associated with torture to a convicted terrorist and agreed to launder Mr Takieddine's proceeds from the transaction and to assist him to evade French taxes.

Abdullah Senussi

28. The Bank's Credit Report makes it clear that Barclays saw *"significant business development opportunities"* with the Libyan regime of Colonel Muammar Gaddafi, due to Mr Takieddine's connections in that country, described in the Credit Report as *"clearly of the highest order"*. The Credit report also stated: *"His [Takieddine's] contacts and influence in Libya are significant, and we are actively pursuing business in that country."*

29. Ziad Takieddine's principal contact in Libya was Abdullah Senussi, Gaddafi's right-hand man, brother-in-law and intelligence chief. The surveillance equipment was for Senussi's secret police; it was Senussi who gave Takieddine millions of euros in cash to take to Sarkozy in 2006 to finance his forthcoming election campaign.

30. Mr Senussi is a notorious figure, nicknamed "the butcher" because of his reputation for brutal behaviour. He is a convicted terrorist, who in 1999 was sentenced *in absentia* to life imprisonment for his part in the 1989 bombing of a French UTA airline DC10 passenger plane over Niger, in which 170 people lost their lives. Senussi is also wanted for questioning by Scottish police for in connection with the 1988 Lockerbie bombing, in which 270 people were killed.

31. Senussi is believed to have been responsible for the 1996 massacre of 1,269 inmates at the Abu Salim prison. He is alleged to have given the order to guards standing on grated ceilings above the inmates to fire down on them, after riots broke out over demands for better food and sanitary conditions. Senussi is also implicated of the killings of 13 anti-Gaddafi demonstrators in Benghazi on 17 February 2006 and the bloody repression of insurgents during the 2011 Libyan civil war.

32. On 16 May 2011, the International Criminal Court issued an arrest warrant for Senussi, charging him as *"criminally responsible as an indirect perpetrator for murder and persecution committed as crimes against humanity between 15 February 2011 and at least 20 February 2011 in Libya"*. The victims were targeted through surveillance technology supplied to Abdullah Senussi via a contract which was arranged by Ziad Takieddine and partly financed by Barclays.

33. On 28 July 2015, a Libyan court in Tripoli convicted Senussi and sentenced him to death by firing squad. It is understood that Mr Senussi is currently held in detention in Mauritania.

34. The Credit Report confirmed that Barclays had reviewed the contract to supply the surveillance technology, so the Bank would have known that the equipment was for use by Mr Senussi's intelligence service and that the payments to Mr Takieddine were to be made to his secret accounts in Lebanon.

Nicolas Sarkozy

35. The Bank described Takieddine as a "*go-between for the French government and businesses when approaching Libya*" and "*a personal acquaintance of the French premier [sic], Nicolas Sarkozy, and was responsible for introducing him to the Libyan government*".

36. Takieddine had long been notorious [ZT/Sarko connections – Karachi, election financing]

37. Contemporaneous press comment

38. Now turned against one another. Liar and manipulator.

39. Sarko now in deep poo – Karachi, Libya, corruption of judge, etc. etc.

    Mr. Senoussi does not appear to me to be a witness of morality in the case of a man who implemented the UTA's DC10 bombing, which killed dozens of our compatriots.

    T: highly suspicious features and heavily loaded past des caractéristiques hautement suspectes et du passé lourdement chargé

    Je ne suis pas un intime de Takieddine

Marc Bonnant

40. The director of WEL was at all material times a high-profile Swiss lawyer called Marc Bonnant. It is estimated he is director of at least 176 companies based in Panama. MB too hot even for Mossack Fonseca, which sacked him as a client in 2011, for fear of become involved in a huge corruption case.

41. Our client believes Marc Bonnant met with Anthony Valgimilgli on 6th January 2009. (49 – 29) **Look up email from Harford deed of ownership,**

42. MB has been named in the conspiracy charges filed against ZT. MB relied on forged documents to bring possession proceedings against our client, seeking to have her evicted as a trespasser. MB instructed law firm plus gave WS.

43. MB role in Occupation proceedings…

    Alain France

44. Alain France was one of Mr Takieddine's domestic servants, whose name appeared on official records as the *gérant* (manager) of SCI Lamartine, one of the screen companies used by Mr Takieddine to hide his wealth from the French tax authorities. SCI Lamartine is the nominal owner of 40 Avenue Georges Mandel, the couple's matrimonial home in Paris (the 'Paris Property').

45. Complex ownership structure. Fake rental agreement. Conscious plan to defeat creditors.

46. Barclays extended the loan in the knowledge that (1) complex structure was for tax purposes (i.e. to evade French ISF), (2) AF was straw man, (3) PP was matrimonial home and (4) couple were in process of divorce

47. Alain France confessed to French Police that he *"signed the loan application in the presence of Mr. Takieddine and the director of the Barclays".*

48. Bank knew about ownership structure and Alain France's true role.

49. By lending money and transferring the proceeds offshore the bank knowingly assisted ZT to defraud his creditors, including NMJ and the French tax authorities.

    Alain France was director of SCI Lamartine at the relevant time. Alain France whilst giving evidence to the French authorities has stated that he *"signed the loan application in the presence of Mr. Takieddine and the director of the Barclays".* The bank was fully aware that Alain France had no control over the company have stated in their credit report ("the credit report"), dated 18th November 2008, that Alain France held the directorship "*in a purely professional capacity*".

John Hall

50. The Bank was introduced to Ziad Takieddine through John Hall, a founding partner of the wealth management firm St James's Place. The Credit Report described Mr Hall as a 'KBI' (Key Business Introducer?) and intimated that the bank's fee would be grossed up to incorporate JH's commission. The completion statement stated that JH's fee was £150,000.

51. JH introduced to ZT by Hani Salaam (super-dodgy) in late 2008. Mr Hall presumably informed Barclays that he had been introduced to Mr Takieddine a few days previously.

52. HS part of fraud. ZT pretended to raise funds for plane. HS double-crossed him.

Barclays personnel

53. Four senior individuals from the bank have been identified as playing leading roles in the release of equity on two properties in London and Paris, namely William Harford, Vice-president of Barclays Private Banking, Alfred Shukry, Middle East Manager, Anthony Valgimilgli, Director of Barclays Wealth and Pierre Kerbidi, Managing Director of Barclays Monaco. A number of other individuals are named in the documents.

54. WH visited ZT in Paris (date), AV visited MB in Geneva and HF in Lebanon (dates), AS "confirmed Z's bona fides". Was PK present with AF?

55. The Bank's compliance and legal teams were also reported as "bending over backwards" to assist.

56. We will want full disclosure and explanation of compliance and legal procedures. Extraordinary that so many senior bankers conspired.

The conspiracy

Beginning in 2006, Ziad Takieddine orchestrated a criminal campaign intended to deny our client her rightful share of the couple's wealth; he has forged documents, dissipated family assets and transferred the proceeds to Lebanon and to other offshore locations.

In and around 2009, the bank, through the various senior members described previously, conspired with Ziad Takieddine to injure Nicola Johnson out of her interest in the London property and the French property ("the properties"). The bank provided an equity release of £12 million to Ziad Takieddine so that he could dissipate assets away from Nicola and various creditors, which include the French state. The bank transferred the net proceeds of the equity release to Mr Takieddine's bank accounts in Lebanon and other remote offshore locations; €3.155 million went to Spectrum Aerospace, €1.32 went to WEL and €1.2 million to Alveston International in Lebanon.

Both William Harford and Alfred Shukry met with Ziad Takieddine prior to the equity release. William

Harford and Ziad Takieddine met on the 18th November 2008 (SHOULD THIS BE 2008) in Paris, and our client believes they met on several occasions in early 2009 with Alain France, director of SCI Lamartine, to sign the loan agreement and documents transferring funds to the various offshore locations. The French police have confirmed to our client that William Harford was sacked from the bank as a result of his dealings with Ziad Takieddine.

The equity release was achieved by way of two secured charges; one in London ("the London Charge") and one in Paris ("the Paris Charge"). The London Charge secured a loan made by the Bank to Warwick Estates Limited of £6m. The Paris Charge, processed through Barclays Monaco, provided an additional €6m loan by the Bank to SCI Lamartine secured by a charge over the Paris Property. Despite the equity release being made in two loans, it was really one payment; the London loan and £1.2 million of the Paris loan was used to pay off a previous charge by Standard Bank of £6 million on the London property.

At all material times the bank knew they were dealing with Ziad Takieddine. They knew that WEL and Lamartine were structured by Ziad Takieddine through screen companies in offshore locations to hide his wealth and to avoid paying tax in France. This is evidenced in the credit report, where the bank state, "*as is to be expected of a client of Ziad's nature, his assets are owned by way of offshore SPV structures, although he, and not a Trust, is the direct beneficial owner of all of them*".

It was clear that the bank was aware that Ziad Takieddine had been and was attempting to hide his assets. The corporate structure which the bank details in the credit report had allowed Ziad Takieddine to profit from the proceeds of tax evasion. Under Section 330 POCA 2002, the bank has a duty to disclose information if they know or suspected, or have reasonable grounds for knowing or suspecting, that Ziad Takieddine was engaging in money laundering. The bank clearly knew or had reasonable grounds for knowing Ziad Takieddine was engaging in money laundering.

The bank knew that Ziad Takieddine was married to our client and that they were married under the French Matrimonial Regime of community of property, whereby all assets acquired by the couple during the marriage are jointly owned by them in indivisible shares. It was public knowledge that Ziad Takieddine was engaged in high-value divorce proceedings and the bank knew that Nicola was in actual occupation of both properties. Despite this, the bank secured the charges without Nicola Johnson's knowledge or consent. This breaches the French Matrimonial Regime Nicola and ZT were married under.

This is “sufficiently reprehensible” behaviour” to amount to unlawful means. It also amounts to a conspiracy to defraud our client. The Bank agreed with Ziad Takieddine by dishonesty to deprive our client of her interest in the properties.

When the loans were issued Ziad was under investigation in France for tax fraud and for political corruption offences, offences for which he has been charged and for which he currently faces trial. The charges include but are not limited to: *"Organisation Frauduleuse de l'insolvabilite"* (“OFI”, roughly translated as ‘fraudulent organisation of insolvency’), tax avoidance, and ‘aggravated’ money laundering. The bank has been named in these proceedings and proceedings initiated by Tracfin (French Ministry of Finances). Renaud van Ruymbeke, a French investigative magistrate, has called the bank’s equity release a series of “de manoeuvres frauduleuses pour masque son patrimone” (fraudulent manoeuvres to hide his [Ziad Takieddine] heritage).

The bank knew that Ziad Takieddine was engaging in tax evasion as evidenced by the following statement from the credit report:

“It is probable the client has cash/investment assets further to the declared position, but he is reluctant to declare his full cash balances with 3rd parties at this stage in the relationship. His French residency, and associated tax regime, means he is cautious when discussing taxable income and assets.”

The Bank would have been aware that France had a wealth tax and that the equity release would assist Ziad Takieddine evade it. The “legal and tax implications” were explicitly acknowledged by the bank in the credit report. The bank’s conduct is an offence under s71 of the Criminal Justice Act 1993, whereby the bank assisted Ziad Takieddine commit a serious offence (OFI) related to tax in another member state.

If the bank’s conduct were triable in England it would amount to the criminal offences of Cheating the Revenue and they are therefore liable under 1(1), per Section 1A of the Criminal Law Act 1977.

The bank facilitated the equity release with a predominant desire for fees (in excess of 430k overall) and to procure business in Gaddafi’s Libya. This is evidenced in the credit report which states, “*his contacts and influence in Libya are significant, and we are actively pursuing business in that country*.” Ziad Takieddine has now admitted in the media and to French prosecutors that he carried millions of euros of Colonel Gaddafi’s cash from Libya to provide illegal financing for Nicolas Sarkozy’s successful 2007

presidential campaign.

Prior to the issuance of the loans, the press coverage of Ziad Takieddine was entirely negative. He was widely suspected of corruption, tax evasion, fiscal fraud and of laundering illegal reverse commissions (retro-commissions) on behalf of Sarkozy. Press reports included weekly news magazines such as L'Express, Le Point and Le Nouvel Observateur as well as the satirical journal Bakchich. Undeterred by this, the bank state in the credit report, "*His connections and business interests have been confirmed by both 3rd party media and internal contact sources.*".

The bank knew about the corruption and fraud allegations made against Ziad Takieddine as they recognised him as a Politically Exposed Person ("PEP"). Seemingly, the bank was more interested in Ziad's many corrupt contacts because they state in the credit report, "*It could prove extremely beneficial should we be able to provide the facility requested to have a man such as Ziad to speak well of the bank to his acquaintances*."

The credit report relies upon a contract, which Barclays examined, where Ziad Takieddine negotiated for the provision of electronic surveillance equipment for monitoring email and internet traffic between a company called Amesys and the Libyan government. That programme was specifically aimed at modernising, perfecting and extending the durability of the system used for the identification, surveillance and elimination of opponents by intelligence authorities in Libya. In May 2017 Amesys were formally placed under the status of "assisted witness" (témoin assisté) by the French court for complicity to torture committed in Libya between 2007 and 2011. It is during this period that the bank was interested in "pursing business" in Libya.

The bank must have known Ziad Takieddine's Libyan links were far from reputable. Mr Takieddine's key Libyan contact was Abdullah Senoussi, Gaddafi's brother-in-law, security chief and who had been convicted in 1989 by the Criminal Court (Cour d'assises) of Paris for acts of terrorism. At the time the complaint was lodged, he was the subject of an International Criminal Court arrest warrant for crimes against humanity.

Based upon the facts as set out above our client intends to seek both criminal and civil remedies.

In the light of the information set out in this letter we expect you to take the following actions:

Acknowledgment of this letter no later than 7 days from the date of this letter;

Disclosure of all documents and communications (emails, meeting notes, messages, faxes, and phone calls) relevant to the equity release and Ziad Takieddine as a client. This includes, but is not limited to, disclosure of communications from William Harford, Alfred Shukry, Anthony Valgimilgli and the bank's Compliance department.

Provide full redress on the London Charge by making a payment of £6,000,000 (or whole loan?) to our client.

Our client understands that the bank refused to deal with Ziad Takieddine around 2012. It appears Ziad Takieddine wanted an equity release using two companies; Oasis Technic Limited and St Paul De Venice. Our client also understands the bank shut his personal bank account around the same time. (238). We expect an answer as to why the bank stopped dealing with Ziad takieddine in or around 2012.

A full and frank reason as to why William Harford was sacked from the bank in 2012.

Who supported the proposal? PEP

Supported by full CFAs from CRS and SFQC

The conspiracy

57. Beginning in 2006, Ziad Takieddine orchestrated a criminal campaign intended to deny our client her rightful share of the couple's wealth; he has forged documents, dissipated family assets and transferred the proceeds to Lebanon and to other offshore locations.

58. In and around 2009, the bank, through the various senior members described previously, conspired with Ziad Takieddine to injure Nicola Johnson out of her interest in the London property and the French property ("the properties"). The bank provided an equity release of £12 million to Ziad Takieddine so that he could dissipate assets away from our client and various creditors, which include the French state. The bank transferred the net proceeds of the equity release to Mr

Takieddine's bank accounts in Lebanon and other remote offshore locations; €3.155 million went to Spectrum Aerospace, €1.32 went to WEL and €1.2 million to Alveston International in Lebanon. The bank's conduct means that they committed several criminal offences, described below, which constitute 'unlawful means' in respect of the conspiracy to injure our client.

59. Both William Harford and Alfred Shukry met with Ziad Takieddine prior to the equity release. William Harford and Ziad Takieddine met on the 18th November 2008 in Paris, and our client believes they met on several occasions in early 2009 with Alain France to sign the loan agreement and documents transferring funds to the various offshore locations. Alain France has confirmed in French proceedings that he signed the loan agreement in the presence of a 'director' from Barclays.

60. The equity release was achieved by way of two secured charges; one in London ("the London Charge") and one in Paris ("the Paris Charge"). The London Charge secured a loan made by the Bank to Warwick Estates Limited of £6m. The Paris Charge, processed through Barclays Monaco, provided an additional €6m loan by the Bank to SCI Lamartine secured by a charge over the Paris Property. Despite the equity release being made in two loans, it was really one payment; the London loan and £1.2 million of the Paris loan was used to pay off a previous charge by Standard Bank of £6 million on the London property.

61. The bank knew that Ziad Takieddine was married to our client and that they were married under the French Matrimonial Regime of community of property, whereby all assets acquired by the couple during the marriage are jointly owned by them in indivisible shares. It was public knowledge that Ziad Takieddine was engaged in high-value divorce proceedings. Despite this, the bank secured the charges without Nicola Johnson's knowledge or consent. This breaches the French Matrimonial Regime Nicola and ZT were married under. This amounts to a conspiracy to defraud our client because the Bank agreed with Ziad Takieddine by dishonesty to deprive our client of her interest in the properties.

62. At all material times the bank knew they were dealing with Ziad Takieddine. They correctly identified Mr Takieddine as a PEP and therefore should have applied enhanced levels of due diligence and monitoring to the loans. The circumstances of the proposed equity release, together with the PEP status of the individuals, indicated a higher level of risk.

63. The bank knew that WEL and Lamartine were structured by Ziad Takieddine through screen companies in offshore locations to hide his wealth and to avoid paying tax in France. This is evidenced through two diagrams produced by the bank in the credit report, and where the bank state, "*as is to be expected of a client of Ziad's nature, his assets are owned by way of offshore SPV structures, although he, and not a Trust, is the direct beneficial owner of all of them*". At the time, guidance from the FCA Financial Crime Guide meant that Barclays had to apply a higher level of due diligence in order to satisfy themselves that there are sound economic or other reasons for Ziad's use of such a complex structure. This was to ensure that they minimised the risk of being used for criminal purposes and, in particular, of facilitating money laundering or terrorist financing.

64. The credit report offers no legitimate reason as to why Ziad structured his assets in such a complex way. The bank was aware that Ziad Takieddine had been and was attempting to hide his assets. They went to unacceptable lengths to accommodate Ziad. In fact, the bank suggests in the credit report that the corporate structure allowed Ziad Takieddine to profit from the proceeds of tax evasion as evidenced by the following statement:

> *"It is probable the client has cash/investment assets further to the declared position, but he is reluctant to declare his full cash balances with 3rd parties at this stage in the relationship. His French residency, and associated tax regime, means he is cautious when discussing taxable income and assets."*

65. Prior to the issuance of the loans, the press coverage of Ziad Takieddine was entirely negative. He was widely suspected of corruption, tax evasion, fiscal fraud and of laundering illegal reverse commissions (retro-commissions) on behalf of Libya and Sarkozy. Press reports included weekly news magazines such as L'Express, Le Point and Le Nouvel Observateur as well as the satirical journal Bakchich. Undeterred by this, the bank state in the credit report, "*His connections and business interests have been confirmed by both 3rd party media and internal contact sources.".*

66. The bank must have either not undertaken a higher level of due diligence or ignored the wholly negative press at the time. This is a breach of Principle 2 of the FCA's principle for business, which requires Barclays to conduct its business with due skill, care and diligence. The bank failed to respond appropriately to a number of features of their potential business relationship with Ziad and his contacts that indicated a higher risk of financial crime; namely, Ziad's links to organised crime and terrorism, the complex structure of his businesses, and the nature of his business. Barclays

deliberately ignored their regulatory requirements knowing that it would injure our client.

67. When the loans were issued Ziad was under investigation in France for tax fraud and for political corruption offences, offences for which he has been charged and for which he currently faces trial. The charges include but are not limited to: *"Organisation Frauduleuse de l'insolvabilite"* ("OFI"**,** roughly translated as 'fraudulent organisation of insolvency'), tax avoidance, and 'aggravated' money laundering. The bank has been named in these proceedings and proceedings initiated by Tracfin (French Ministry of Finances). Renaud van Ruymbeke, a French investigative magistrate, has called the bank's equity release a series of "de manoeuvres frauduleuses pour masque son patrimone" (fraudulent manoeuvres to hide his [Ziad Takieddine] heritage).

68. Under Section 330 POCA 2002 and the Terrorism Act 2000, the bank had a duty to disclose information if they knew or suspected, or had reasonable grounds for knowing or suspecting, that Ziad Takieddine was engaging in money laundering or terrorist financing. The bank clearly knew or, at the very least, had reasonable grounds for knowing or suspecting Ziad Takieddine was engaging in money laundering. As far as our client is aware no report was made to a relevant authority (HM Treasury or SOCA) at the time. If no report was made, the bank failed in their duty to report anti-money laundering and terrorist financing.

69. The Bank not only failed to report Ziad to the relevant authorities, but also entered into an arrangement which they knew would assist Ziad control and conceal the proceeds of crime. The bank would have been aware that France had a wealth tax and that the equity release would assist Ziad Takieddine evade it by allowing him to dissipate his assets out of the relevant jurisdictions. The "legal and tax implications" were explicitly acknowledged by the bank in the credit report. Furthermore, Barclays actions would amount to the criminal offences of Cheating the Revenue if they occurred in the UK. This is an offence under s. 227 and s. 228 of POCA whereby the bank knowingly assisted Ziad in concealing, or entering into arrangements for the acquisition, use, and/or possession of, criminal property.

70. The bank's conduct is also an offence under s71 of the Criminal Justice Act 1993, whereby the bank assisted Ziad Takieddine commit a serious offence, OFI, related to tax in another member state, and would amount to the offence under 1(1), per Section 1A of the Criminal Law Act 1977.

71. The bank facilitated the equity release with a predominant desire for fees (in excess of 430k overall) and to procure business in Gaddafi's Libya. This is evidenced in the credit report which states, "*his contacts and influence in Libya are significant, and we are actively pursuing business in that country*." Ziad Takieddine has now admitted in the media and to French prosecutors that he carried millions of euros of Colonel Gaddafi's cash from Libya to provide illegal financing for Nicolas Sarkozy's successful 2007 presidential campaign.

72. The bank must have known about the corruption and fraud allegations made against Ziad Takieddine as they recognised him as a PEP. Seemingly, the bank was more interested in Ziad's many corrupt contacts because they state in the credit report, "*It could prove extremely beneficial should we be able to provide the facility requested to have a man such as Ziad to speak well of the bank to his acquaintances*." The only contract relied upon by the bank in the credit report is between Ziad and Amyses for a total £5 million. The funds from this contract, most likely from Senussi, were used to purchase the supply of surveillance equipment from that contract for terrorist purposes.

73. By facilitating the equity release Barclays provided money to Ziad that they must have suspected would be used for the purposes of torture and terrorism in Libya. This is an offence under s. 17 Terrorism Act 2000 whereby by Barclays became concerned into an arrangement as a result of which property was made available to Ziad, which they had a reasonable cause to suspect that it may be used for the purpose of terrorism. Furthermore, Barclays assisted Ziad to move the proceeds of the commission of acts of terrorism, from Libya to Lebanon and the United states via screen companies. This is the laundering of terrorist property and is an offence under s. 18 Terrorist Act 2000.

74. The bank entered in to a conspiracy with along Ziad and various other parties, including convicted terrorists, to intentionally injure our client. As a result of the bank's actions and those of Ziad, our client has nothing from the bank's estimated £100 million of her and Ziad's shared assets. In support of this case, our legal team consists of this firm and Simon Farrell QC. We are both on CFA agreements.

75. Based upon the facts as set out above our client intends to seek both criminal and civil remedies.

76. In the light of the information set out in this letter we expect you to take the following actions:

a. Acknowledgment of this letter no later than 14 days from the date of this letter;

b. William Harford states in an email on 10 February 2009 to John Hall, "*both in-house legal and credit risk have bent over backwards to accommodate my requests*". As Mr Harford makes clear the conspiracy to injure our client involved senior individuals, the legal team, the compliance team, and the credit team from the bank. Our client expects disclosure of all relevant documents and communications (emails, meeting notes, messages, faxes, and phone calls) relevant to these parties, the equity release and Ziad Takieddine as a client.

c. Disclosure of the relevant compliance manuals at the time of the equity release.

d. Our client was notified by the French police that William Harford left Barclays in 2012 as a result of his dealings with Ziad. Our client expects a full and frank reason as to why William Harford was sacked from the bank in 2012.

e. Our client understands that the bank refused to deal with Ziad Takieddine around 2012. It appears Ziad Takieddine wanted an equity release using two companies; Oasis Technic Limited and St Paul De Venice. Our client also understands the bank shut his personal bank account around the same time. (238). We expect an answer as to why the bank stopped dealing with Ziad Takieddine in or around 2012.

f. Provide full redress on the London Charge by making a payment of £6,000,000 (or whole loan?) to our client.

77. Please also answer the following questions

g. Which director or senior manager was responsible for the AML procedures at the relevant time?

h. Who was the Money Laundering Reporting Officer ("MLRO") from 2008-2013?

i. Was the MLRO or senior management notified at any point about the equity release?

j. Did the bank file a report about Ziad Takieddine subject to s. 328 POCA at the time of the equity release?